

SECTION B [85 marks]**QUESTION 1 [20 marks]**

(a) Chantique Enterprise

Chantique Enterprise✓			
Bank Reconciliation Statement as at 31 October 2019✓			
	RM		RM
Cash balance per Bank Statement			1,957.90✓
Add : Deposit in transit			
Sales	575.60✓		
sales	784.30✓		
sales	1,583.20✓		
Error : payment overstated	1,241.00✓		4,184.10
			<u>6,142.00</u>
Deduct : Outstanding Cheque			
Cheque no. 223031	560.00✓		
Cheque no. 223034	1,560.30✓		
Cheque no. 223035	1,153.00✓		3,273.30
			<u>2,868.70✓</u>
Adjusted Cash Balance per Bank			
Cash balance per Cash Book			2,025.40✓
Add : credit transfer			1,668.70✓
			<u>3,694.10</u>
Deduct : Bank service charges	100.00✓		
Standing order (loan)	676.40✓		
Error : payment understated	49.00✓✓		825.40
			<u>2,868.70✓</u>
Adjusted Cash Balance per Book			

[18✓ x ½ m = 9 marks]

(b) Savemore Sdn Bhd

Date	Particulars	Debit (RM)	Credit (RM)
2018			
1.	Accounts Receivable	436,000✓	
	Sales		436,000✓
	Costs of Good Sold	174,400✓	
	Inventory		174,400✓
2.	Cash	215,000✓	
	Accounts Receivable		215,000✓
3.	Bad debts expense	3,315✓	
	Allowance for doubtful debts		3,315✓✓@
	[(436,000 – 215,000) x 1.5%]✓✓		

Date	Particulars	Debit (RM)	Credit (RM)
2019			
1.	Accounts Receivable	518,000v	
	Sales		518,000v
	Costs of Good Sold	207,200v	
	Inventory		207,200v
2.	Allowance for doubtful debt	1,250v	
	Accounts Receivable		1,250v
3.	Cash	314,950v	
	Accounts Receivable		314,950v
4.	Bad debts expense	4,277vvv@	
	Allowance for doubtful debts		4,277v
	[(221,000 + 518,000 – 314,950 – 1,250) x 1.5%]=6,342		
	[6,342 + 1,250 - 3,315) vv = 4,277		

or

Allowance For doubtful debts

2018	RM	2018	RM
Dec 31 Balance c/f	<u>3,315</u>	Dec 31 Bad debt expense	<u>3,315</u>
2019		2019	
Dec 31 Accounts Receivable	1,250v	Jan 1 Balance b/f	3,315
Balance b/f	6,342*v@	Dec 31 Bad debt expense	<u>4,277v</u>
	<u>7,592</u>		<u>7,592</u>

$$*(221,000 + 518,000 - 314,950 - 1,250) \times 1.5\% = 6,342$$

[21v x ½ m = 11 marks]

QUESTION 2 [20 marks]

(i) FIFO method (perpetual system)

Date	Purchases			Costs of Good Sold			Balance		
	Units	Unit cost (RM)	Total costs (RM)	Units	Unit cost (RM)	Total costs (RM)	Units	Unit cost (RM)	Total costs (RM)
Sept 1							420	24	10,080
3				220v	24v	5,280	200v	24	4,800
7	220	25	5,500				200	24	4,800
							220	25	<u>5,500</u>
									10,300
10				200v	24v	4,800			
				20v	25v	<u>500</u>	200	25v	5,000
						5,300			
14	320	26	8,320				200	25	5,000
							320	26	<u>8,320</u>
									13,320
18	270	30	8,100				200	25	5,000
							320	26	8,320
							270	30	<u>8,100</u>
									21,420
21				200v	25v	5,000	200v	26v	5,200
				120v	26v	<u>3,120</u>	270	30	<u>8,100</u>
						8,120			13,300
24	120	31	3,720				200	26	5,200
							270	30	8,100
							120	31	<u>3,720</u>
									17,020
27				200v	26v	5,200	150v	30v	4,500
				120v	30v	<u>3,600</u>	120	31	<u>3,720</u>
						8,800			8,220
30	270	33	8,910				150	30	4,500
							120	31	3,720
							270	33	<u>8,910</u>
									17,130

Ending inventory costs = RM17,130v

[21v x ½ m = 10 ½ marks]

i) Weighted Average method

Date	Purchases			Costs of Good Sold			Balance		
	Units	Unit cost (RM)	Total costs (RM)	Units	Unit cost (RM)	Total costs (RM)	Units	Unit cost (RM)	Total costs (RM)
Sept 1							420	24	10,080
3				220	24	5,280V	200V	24	4,800
7	220	25	5,500V				200	24	4,800
							<u>220</u>	<u>25</u>	<u>5,500</u>
							420	24.52V	10,300
10				220	24.52	5,394.40V	200V	24.52	4,905.60
14	320	26	8,320V				200	24.52	4,905.60
							<u>320</u>	<u>26</u>	<u>8,320</u>
							520	25.43V	13,225.60
18	270	30	8,100V				520	25.43	13,225.60
							<u>270</u>	<u>30</u>	<u>8,100</u>
							790	26.99V	21,325.60
21				320	26.99	8,636.80V	470V	26.99	12,688.80
24	120	31	3,720V				470	26.99	12,688.80
							<u>120</u>	<u>31</u>	<u>3,720</u>
							590	27.81V	16,408.80
27				320	27.81	8,899.20V	270V	27.81	7,509.60
30	270	33	8,910V				270	27.81	7,509.60
							<u>270</u>	<u>33</u>	<u>8,910</u>
							540	30.41V	16,419.60

Ending inventory costs = RM16,419.60V

[19V x ½ m = 9 ½ marks]

QUESTION 3 [20 marks]

(a) Kaka Sdn Bhd

Accumulated Depreciation : Machinery

2019	RM	2019	RM
Dec 31 Balance c/f	<u>110,850V</u>	Jan 1 Balance b/f	76,500*VVV@
	<u>110,850</u>	Dec 31 Depreciation expense	<u>34,350**VVV@</u>
			<u>110,850</u>

Calculation :

Beginning balance = $[(135,000 \times 20\%) \times 10/12]VV + [(135,000 \times 20\%) \times 2]VV = 76,500^*$ Depreciation expense (2019) : $(135,000 \times 20\%)VV + [(49,000 \times 20\%) \times 9/12]VV = 34,350^{**}$

Accumulated Depreciation : Motor Vehicles

2019	RM	2019	RM
Dec 31 Balance c/f	<u>250,100v</u> <u>250,100</u>	Jan 1 Balance b/f	182,450*vvvv@
		Dec 31 Depreciation expense	<u>67,650**vvvv@</u> <u>250,100</u>

Calculation :

Beginning balance = $[(267,000 \times 20\%) \times 5/12] vv + [(267,000 \times 20\%) \times 3] vv = 182,450^*$

Depreciation expense (2019) : $(267,000 \times 20\%)vv + [(95,000 \times 20\%) \times 9/12] vv = 67,650^{**}$

Accumulated Depreciation : Office Equipment

2019	RM	2019	RM
Dec 31 Balance c/f	<u>52,761.25v</u> <u>52,761.25</u>	Jan 1 Balance b/f	30,012.50*vvv@
		Dec 31 Depreciation expense	<u>22,748.75**vvv@</u> <u>52,761.25</u>

Calculation :

Beginning balance : 30,012.50*

2017 : $[(245,000 \times 10\%) \times 3/12] vv = 6,125$

2018 : $[(245,000 - 6125) \times 10\%] vv = 23,887.50$

Depreciation expense :

2019 : $[(245,000 - 30,012.50) vv \times 10\% v = 21,498.75$

2019 : $(25,000 \times 10\%)v \times 6/12v = 1,250$

Total : 22,748.75**

[30v x ½ m = 15 marks]

(b) Statement of Financial Position (extracted)

Kaka Sdn Bhd

Statement Of Financial Position (extracted) as at 31 December 2019

	RM	RM
Non-Current Assets		
Machinery (135,000 + 49,000)	184,000vv	
(-) Accumulated depreciation	<u>110.850v</u>	73,150
 Motor Vehicles (267,000 + 95,000)	362,000vv	
(-) Accumulated depreciation	<u>250.100v</u>	111,900
 Motor Vehicles (245,000 + 25,000)	270,000vv	
(-) Accumulated depreciation	<u>52.761.25v</u>	<u>217.238.75</u>
 Total Non-Current Assets		<u>402,288.75v</u>

[10v x ½ m = 5 marks]

QUESTION 4 [25 marks]

a) Journal entry : Bara Beri Sdn Bhd

Date	Particulars	Debit (RM)	Credit (RM)
2019 Aug	Cash	250,000v	
	Sales		250,000v
	Warranty expense Warranty payable [5% x 250,000]	12,500v	12,500v
Oct 1	Bank / Cash Notes Payable	80,000v	80,000v
Nov	Warranty payable Cash	4,000v	4,000v
Dec 30	Notes Payable Interest expense Bank / Cash [80,000 x 12% x 90/365]	80,000v 2,367.12v	82,367.12v
Dec 31	Salary expenses Salary payable [3,500 x 2]	7,000v	7,000v
	Income tax expense Income tax payable	22,000v	22,000v

[18v x ½ m = 9 marks]

(b) Nurin's Highters 2.5h out of 3.1h